Matheson Gateway Centre — Lease Excerpts
CAM / Operating Expense Clauses (Redacted)

Prepared for CRE-150 Exercise 3. Excerpts are taken from four live leases at the property plus the Management Agreement between Tenebrus Core Income Fund LP and Gateway Property Management Inc. Tenant-specific financial terms and proprietary clauses have been redacted. All figures are illustrative.

Document Index

1. Standard Form Lease — Article 6: Operating Expenses

Applies to Suites 200 (Harrington & Kline), 300 (Meridian Civil), 400 (Helix AI) and Units 102 (Brewhouse), 105 (Pronto — subject to Schedule C).

6.01 Definitions.

In this Article, "**Operating Expenses**" means the total, without duplication, of all reasonable costs, expenses and disbursements of every kind and nature incurred or accrued by the Landlord in each calendar year in connection with the ownership, operation, management, maintenance, repair, insurance, supervision and administration of the Building and the Lands, calculated as if the Building were one hundred percent (100%) occupied, and including without limitation the categories enumerated in Schedule B.

6.02 Tenant's Proportionate Share.

The Tenant shall pay to the Landlord, as Additional Rent, the Tenant's Proportionate Share of Operating Expenses allocable to the Pool in which the Premises are situated. Proportionate Share is determined by dividing the Rentable Area of the Premises by the total Rentable Area of the applicable Pool. The Landlord shall allocate Operating Expenses between the Office Pool and the Retail Pool in a fair and equitable manner consistent with generally accepted property management practice.

6.03 Exclusions from Operating Expenses.

Notwithstanding anything in this Article to the contrary, Operating Expenses shall **not** include:

(a) capital expenditures of a nature that, in accordance with generally accepted accounting principles, would be capitalized, save as expressly permitted under Section 6.04;

(b) leasing commissions, marketing costs, tenant inducement payments, tenant improvement allowances, or any legal fees incurred in connection with the negotiation or enforcement of leases;

(c) **one-time extraordinary charges arising from tenant turnover, including without limitation move-out deep cleaning, suite restoration works, demising wall construction, or carpet replacement attributable to a specific prior tenant, all of which shall be recoverable, if at all, solely from the applicable outgoing or incoming tenant;**

(d) legal fees, accounting fees, or consulting fees incurred in connection with ownership disputes, financing, refinancing, sale, or leasing of the Property;

(e) income taxes, capital taxes, transfer taxes, land transfer tax, or goods and services taxes (except where GST/HST forms part of a recoverable invoice and cannot be claimed as input tax credit);

(f) any expense for which the Landlord has been reimbursed by insurance proceeds, warranty recovery, or payment from any third party;

(g) **amounts posted to the general ledger in error, including without limitation duplicate invoices, transposition errors, accounting misclassifications, or any accounting entry not supported by a valid third-party invoice or receipt.**

(h) the cost of correcting defects in the original construction of the Building, latent defects, or any repair covered under warranty;

(i) expenses of any specialty or premium service provided to another tenant but not available to the Tenant on equivalent terms.

6.04 Amortization of Certain Capital Expenditures.

Capital expenditures required (i) by applicable law enacted after the date of this Lease, or (ii) to reduce Operating Expenses on a demonstrable basis, may be amortized over the useful life of the asset determined in accordance with generally accepted accounting principles, together with interest on the unamortized balance at the Landlord's cost of borrowing, and the annual amortization amount only shall be included in Operating Expenses.

2. CanadaFirst Bank Lease — Article 6.05 (CAM Cap Rider)

Applies to Unit 101. Negotiated rider to the Standard Form Lease.

6.05 Annual Cap on Operating Expenses.

Notwithstanding Section 6.02, the Tenant's Proportionate Share of Operating Expenses payable in respect of any calendar year shall not exceed one hundred four percent (104%) of the Tenant's Proportionate Share of Operating Expenses paid in the immediately preceding calendar year, compounded annually. For the purposes of this Section, the base year shall be the 2022 calendar year, during which the Tenant's Proportionate Share of Operating Expenses was $11.40 per square foot of the Rentable Area of the Premises (the "**Base Year CAM**").

6.05.1 The cap imposed by this Section does **not** apply to realty tax, insurance premiums, utility costs, or snow removal (collectively, the "**Uncontrollable Expenses**"), which pass through to the Tenant without limit on annual increase.

6.05.2 The Landlord shall calculate the cap ceiling for each calendar year and reflect it on the annual CAM reconciliation statement delivered under Section 6.08. For greater certainty, the FY2025 cap ceiling is $12.82 per square foot for Controllable Operating Expenses.

EXERCISE NOTE — The cap applies only to Controllable expenses. For FY2025 reconciliation, the Uncontrollable Expenses (realty tax, insurance, utilities, snow) pass through without the cap. The cap matters only for the Controllable bucket.

3. Matheson Family Dental Lease — Article 6.06 (Base Year)

Applies to Unit 103. Also applies in substance to Coverpoint Insurance (Suite 310, BY 2023).

6.06 Base Year Gross-Up.

In substitution for the full pass-through contemplated by Section 6.02, the Tenant shall pay as Additional Rent only the amount by which the Tenant's Proportionate Share of Operating Expenses in each calendar year exceeds the Tenant's Proportionate Share of Operating Expenses for the **Base Year**, being the 2024 calendar year ("**Base Year CAM**" = $15.40 per square foot).

For the purposes of this calculation, Operating Expenses for each of the Base Year and subsequent years shall be **grossed up** to reflect the cost that would have been incurred had the Building been fully occupied for the full calendar year, consistent with the definition of Operating Expenses in Section 6.01.

EXERCISE NOTE — Base-year tenants (Unit 103, Suite 310) pay only the *increase* over their base year. Their pro-rata share of FY2025 opex is calculated normally; then the base-year dollar amount is subtracted. This is a rate calculation, not a reconciliation discrepancy — no planted error here.

4. Peak Fitness Studio Lease — Article 6.07 (Modified Gross — Exclusions)

Applies to Unit 104.

6.07 Modified Gross Structure — Excluded Categories.

Section 6.02 is modified to the extent that, in each calendar year, the Tenant's Proportionate Share of Operating Expenses shall be calculated **excluding** the following categories, which shall be borne by the Landlord without recovery from the Tenant:

(a) all utility costs of every nature, including without limitation electric, gas, water, sewer, and telecommunications backbone (Landlord acknowledging that the Tenant's premises is separately metered for electric and gas, with the Tenant paying such charges directly to the utility);

(b) all repair and maintenance expenses, whether relating to the base building, mechanical systems, roof, or common areas.

All other Operating Expense categories, including realty tax, insurance, landscaping, security, snow and ice management, and management fee, shall flow through to the Tenant on the same basis as in Section 6.02, subject to the Tenant's Proportionate Share of the Retail Pool.

EXERCISE NOTE — Peak Fitness is excluded from the Utilities line ($203,340 actual) and the R&M line ($115,658 actual) for recovery purposes. The plugin's reconciliation must strip Peak Fitness's pro-rata share of those two lines from their chargeable total.

5. Pronto Italian Kitchen Lease — Schedule C (Restaurant Exclusions)

Applies to Unit 105.

Schedule C — Restaurant-Specific Operating Expense Exclusions.

The parties acknowledge that the Tenant operates a full-service restaurant and that certain categories of Operating Expense primarily benefit the Tenant (or, conversely, arise primarily from the Tenant's operations). Accordingly, notwithstanding Section 6.02, the following categories shall be **excluded** from the calculation of the Tenant's Proportionate Share of Operating Expenses:

C.1 Grease trap servicing, pump-out, inspection, and any regulatory compliance cost associated with the kitchen grease interceptor serving the Premises, all of which shall be billed directly to the Tenant;

C.2 Kitchen exhaust hood cleaning, duct cleaning, and fire-suppression system inspection for the Premises' ventilation system (Tenant self-performs through a licensed third-party contractor);

C.3 Any increase in building insurance premium directly attributable to the Tenant's restaurant operations, as certified by the Landlord's broker.

EXERCISE NOTE — The grease trap line (account 6450, $4,500 actual) is in the Retail Pool but Pronto is excluded from it. The reconciliation must reallocate that $4,500 across the other retail tenants, not across all five retail tenants including Pronto.

6. Management Agreement §4.1 — Management Fee Basis

Between Tenebrus Core Income Fund LP ("Owner") and Gateway Property Management Inc. ("Manager"), executed January 1, 2024.

§4.1 Management Fee.

As compensation for services rendered hereunder, Owner shall pay Manager a monthly management fee equal to **four percent (4.0%) of the Effective Gross Income** of the Property for such month.

For the purposes of this Section, "**Effective Gross Income**" ("**EGI**") means the sum of all rental income, additional rent, parking revenue, and other miscellaneous income **actually billed** in respect of the Property, **less**:

(i) **vacancy loss** attributable to unleased rentable area at the Property during such month; and

(ii) an **allowance for credit losses and uncollected rent**, determined in accordance with generally accepted property management practice and reviewed annually by Owner.

§4.1.1 Distinction from Gross Potential Income.

For the avoidance of doubt, the Management Fee shall **not** be calculated on the basis of Gross Potential Income (being the income that would be received if the Property were fully leased and all rent were collected in full), nor on the basis of billed income before deduction of vacancy and credit losses. Any fee paid on an incorrect basis shall be reconciled at year-end and the difference credited or debited to the Manager's next monthly payment.

§4.1.2 Non-Recoverability from Tenants.

The Management Fee is recoverable from tenants as an Operating Expense only to the extent of the fee actually payable by Owner under this Section — i.e., **four percent (4.0%) of Effective Gross Income**. No portion of any fee paid in excess of that amount, whether due to calculation error or otherwise, shall form part of Operating Expenses recoverable from tenants under Article 6 of the Standard Form Lease or any equivalent provision of a tenant lease.

EXERCISE NOTE — CRITICAL — The FY2025 GL shows monthly management fee postings totaling $114,800, calculated as 4% of Gross Potential Income ($2,870,000). The correct basis is EGI ($2,770,000), which yields a fee of $110,800. The $4,000 overstatement is both (a) not recoverable from tenants per §4.1.2, and (b) creates a credit owed by the Manager to the Owner per §4.1.1. The plugin must flag both the calculation method and the allocation error.